metricstream

Risk, Regulations, and Resilience in Banking and Financial Services

7 Critical Priorities



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Introduction

Almost halfway into 2025, the banking world is navigating intense cross-currents. New tariffs have shaken global trade flows, putting pressure on cross-border financing and corporate lending. Meanwhile, ongoing geopolitical conflicts in Europe and the Middle East continue to fuel market volatility and economic instability.

With global growth expected to slow, the International Monetary Fund (IMF) has urged banks to allocate adequate resources for scenario analysis and stress testing, while also ensuring sufficient capital and liquidity reserves. Specifically, the IMF calls for "full, timely, and consistent implementation of Basel III and other international standards".

But even as banks adapt to the sweeping changes introduced by Basel III, they also have to contend with other regulations. The EU's Corporate Sustainability Reporting Directive (CSRD), the UK's Consumer Duty rules, as well as expanded anti-money laundering (AML) and counter terrorism financing (CTF) regimes are keeping banks everywhere on their toes.

Amidst these challenges lie a host of opportunities. Generative AI is on track to unlock the next wave of inclusive and personalized banking services. Open-source architectures are making it easier to scale banking operations, cut costs, and drive innovation.

But the flipside of this digital transformation is heightened exposure to operational risks. Cyberattacks, data breaches, and system outages can bring many financial institutions to their knees. As a result, resilience has become more essential than ever. It's now mandated by regulations such as the EU's Digital Operational Resilience Act (DORA).

For banks, navigating the months ahead will require a risk-aware and compliance-focused approach. Success will not be defined by avoiding uncertainty, but by anticipating, absorbing, and adapting to it. Robust governance, risk, and compliance (GRC) programs will be critical—not simply as a box-ticking exercise, but as a foundation for sustainable growth.

Read on to learn more about the key GRC priorities that will shape banking success in 2025 and beyond.

7 Priorities for BFSI in 2025

In a year marked by uncertainty and transformation, here's what GRC leaders in financial services are focusing on:

1 Banking on AI: Balancing the Risks, Rewards, and Need for Governance

Generative AI, which began as a promising experiment, is fast becoming a mission-critical part of banking. Not only can it automate customer interactions—it also helps solve routine queries, write code, improve fraud detection, summarize lengthy reports, and more.

The rewards of using the technology are substantial:

66% of banks surveyed by KPMG have achieved cost-savings with AI, while 62% expect a moderate to very high RoI from their AI investments.
KPMG: Intelligent Banking Report 2025

However, the risks are escalating just as quickly. AI models, if not properly governed, can amplify biases, increase cybersecurity vulnerabilities, and generate misleading information. No wonder regulators worldwide are tightening their oversight of the technology. Already, the EU AI Act prohibits certain AI practices, while also requiring AI literacy among employees. South Korea recently introduced its AI Framework Act, while the UK has embraced a "pro-innovation approach to AI regulation".

Banks will now be expected to take a disciplined approach to managing AI risks. This means embedding clear governance structures across the AI lifecycle—from sourcing data to monitoring models in production.

All AI decisions should be explainable and transparent to preserve trust. At the same time, regular audits of AI training data will be essential to preventing bias or misinformation.

2 Staying Ahead of Regulatory Changes: Turning Compliance into a Strategic Advantage

While the Trump administration pushes for deregulation, governments elsewhere are ramping up regulatory pressures. In fact, the pace and complexity of new rulemaking appears to have accelerated, particularly in areas like sustainability, operational resilience, AI, and data privacy.

A major milestone this year has been the final implementation of Basel III reforms which fundamentally changes how banks think about capital management. Digital innovation is also under the scanner with regulations like the EU's Markets in Crypto-Assets (MiCA) regulation and the AI Act imposing strict guardrails on how technology is developed and deployed.

Meanwhile, open banking regulations continue to advance across the Asia-Pacific and Middle East, as regulators seek to foster healthy competition while safeguarding consumer privacy. Climate has also moved to the center of the regulatory agenda. Financial institutions in major markets are now required to include sustainability data alongside financial information in their annual reports.

Clearly, compliance is becoming more complex. Banks that invest in real-time regulatory change monitoring mechanisms and automated compliance workflows will be better positioned to thrive.



3 Third-Party Risk Management: A Strategic Necessity in an Interconnected World

Over time, financial institutions have expanded their ecosystems to encompass cloud service providers, payment processors, insurance brokers, collection agencies, and more. Today, these third parties are no longer just peripheral service providers—they're core to banking operations. A credit decision, for example, might rely on a fintech app for real-time credit scores. Similarly, a bank's mobile apps and customer data might be hosted on a cloud platform.

As these dependencies increase, so do the associated risks. SecurityScorecard found that 97% of the top 100 U.S. banks experienced a third-party data breach in 2024. The CrowdStrike outage was another example of how vendor vulnerabilities—even if they don't lead to a breach—can cause serious operational disruptions that cascade throughout the financial system.

Banks in 2025 can respond by ensuring smarter, tighter third-party oversight. This means identifying which vendors support critical operations, assessing risk exposure continuously, and maintaining detailed due diligence records to meet regulations like DORA.

Contracts must be restructured to ensure that providers adhere to the highest security standards and encryption protocols. In addition, regular third-party security audits and robust incident response plans can go a long way towards uncovering potential vulnerabilities.

The goal isn't zero third-party risk—it's faster detection and better control in a hyper-connected ecosystem.



4 Staying on Guard: Ensuring Continuous Risk and Control Monitoring

With cyber threats evolving fast, banks are moving from point-in-time risk assessments to an always-on approach. The goal is to detect cyber anomalies and control gaps as they unfold, not after the damage is done.

Continuous control monitoring (CCM) allows for this. It enables financial institutions to test risk management processes and controls in an ongoing manner, using hyper-automated tools. No more sample-based control tests that provide only a partial view of control effectiveness. CCM supports full-population testing, uncovering hidden issues that traditional audits might miss.

Since evidence data is automatically gathered, security teams can monitor IT controls and risks at scale with accuracy and speed. AI-driven continuous monitoring can go even further, quickly identifying patterns that indicate potential security breaches.

This shift to real-time oversight strengthens threat detection while also accelerating cyber responses. Instead of waiting for periodic reviews to surface control failures or vulnerabilities, banks can act on live insights, and fix issues before they escalate.



5 From Fragile to Agile: A Strong Focus on Operational Resilience

Regulators worldwide—from the UK's Financial Conduct Authority (FCA), to the US Office of the Comptroller of the Currency (OCC) and the Monetary Authority of Singapore—are sharpening their focus on operational resilience.

The message is clear: it's no longer sufficient to react to a disruption; financial institutions must demonstrate that they can withstand and recover from it swiftly. After all, one cyber attack or system outage is all it takes to cripple banking infrastructure and critical transactions.

Under the Basel accords, operational resilience has become core to banking success. Financial institutions are expected to not only ensure capital adequacy, but also develop plans for crisis continuity, stress-test their operations, and report on potential risk exposures.

DORA goes even further, mandating that banks across the EU develop concrete capabilities to identify, prevent, detect, and recover from disruptions related to information and communication (ICT) technologies.

To stay competitive, operational resilience must be woven into the fabric of organizational processes. Risk appetites and impact tolerances must be aligned with resilience strategies to ensure timely risk mitigation.



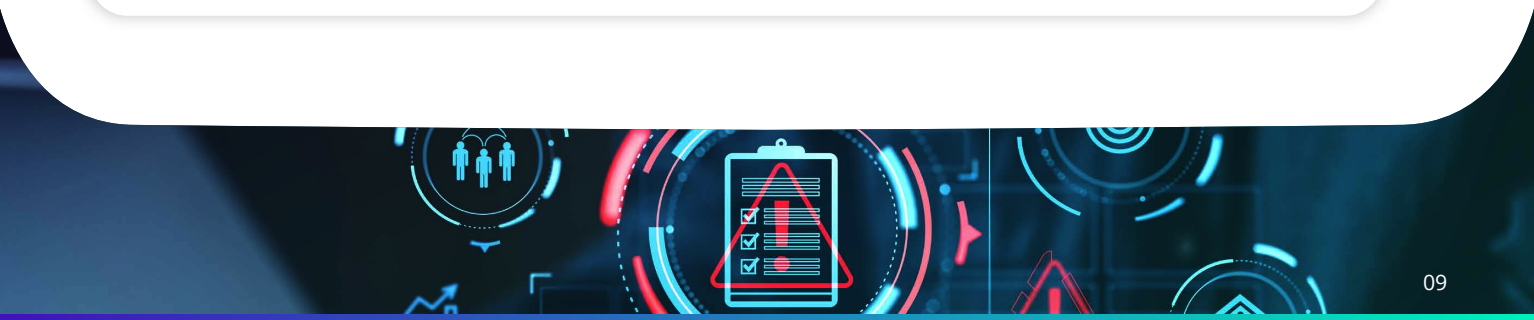
6 Operational Risk: The Central Thread in a Complex Tapestry of Risks

With business ecosystems and technologies growing more interconnected, operational risks have emerged as the central axis around which other BFSI risks revolve. Cybersecurity risks, for example, often originate from operational failures like misconfigured systems or human error. Third-party risks can directly disrupt operations through vendor outages or supply chain disruptions. Even compliance risks frequently arise from lapses in operational processes and controls.

These vulnerabilities have intensified as businesses go digital. Cloud infrastructure and automation introduce complex inter-dependencies where a single point of failure like a system outage can quickly spiral into widespread service disruptions, regulatory fines, reputational damage, and financial losses. Because such cascading consequences often stem from operational breakdowns, effective operational risk management is often the first line of defence against a much broader set of risks.

Recognizing this, global regulators ranging from the UK's Prudential Regulation Authority (PRA) and the Bank of England (BoE), to the US's Office of the Comptroller of the Currency (OCC) are placing operational risk and resilience at the forefront of their supervisory frameworks. Operational risk is no longer a backend concern—it's a strategic boardroom issue.

The stakes increase as AI, data, and advanced analytics become core to business operations. Poor data governance or flawed AI models can introduce entirely new vectors of operational risk. Yet when governed well, these same tools offer powerful capabilities to detect, predict, and mitigate risk. That's why operational risk management strategies must move in step with innovation, not lag behind it.



7 Simplified RCSAs: Prioritizing Clarity Over Complexity in Risk Management

For years, risk and control self-assessments (RCSAs) in banking were time-consuming and challenging exercises. Risk managers labored over sprawling spreadsheets, complex risk scoring matrices, and subjective narratives that often produced more noise than insights. But that's now changing.

Banks are reimagining their RCSAs with simpler formats, pre-configured templates, and standardized taxonomies. Workflows are being streamlined and automated to assess risks with greater efficiency. Advanced RCSA capabilities such as dynamic scoring, real-time dashboards, and risk-control heat maps are helping stakeholders spot emerging issues earlier.

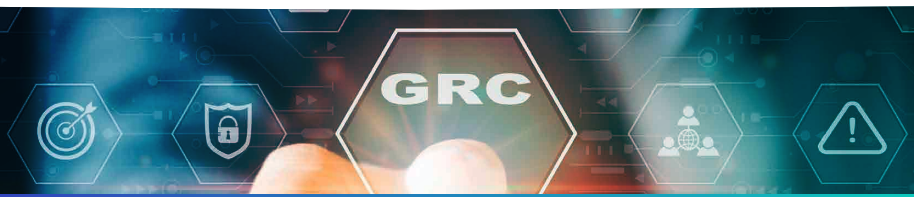
What's driving this change isn't just fatigue with complexity, but also the need for proactive risk management. Since risks are evolving faster than ever, banks need RCSAs that can keep pace. Simplicity, in this context, isn't about taking shortcuts; it's about stripping away the noise to focus on what truly matters.



Simplify GRC and Amplify Outcomes with MetricStream

MetricStream's mission is to simplify GRC for banks and financial services companies, while also driving powerful outcomes through AI. Our AI-first Connected GRC suite of products including Risk Management, Compliance Management, Audit Management, Cyber GRC Management, Third-Party Risk Management, and Resilience Management are designed to streamline and automate end-to-end GRC processes for optimal efficiency.

With our agentic and generative AI capabilities, financial institutions can easily mitigate risks, ensure compliance, navigate audits, and drive resilience. Tedious tasks are automated by AI agents, freeing up more time for what truly matters. Stakeholders can focus on protecting and growing the business with the security and privacy they expect since we never share or use organizational data to train third-party AI.



Using MetricStream, financial institutions can:

Strengthen operational resilience with a unified platform for operational risk, cyber risk, compliance risk, third-party risk, and business continuity management

Streamline regulatory compliance, while staying on top of regulatory changes and updates

Proactively identify, manage, and mitigate third-party risks with AI-powered automation and a complete view of the extended enterprise

Keep cyber risks in check with built-in best practice frameworks and controls, as well as advanced cyber risk quantification capabilities

Simplify audits through a centralized, risk-based approach

Effectively manage environmental, social, and governance (ESG) risks with streamlined tracking, real-time reporting, and alignment to global standards



Unlock the power of AI-First Connected GRC with MetricStream

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